WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

AUSTRALIA

Asia

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Sydney (New South Wales)	Largest city and financial capital, home to the ASX and most regional headquarters; Western Sydney International Airport opens to passengers on 25 October 2026	Financial services, technology, data centres, logistics, real estate
Melbourne (Victoria)	Second-largest city and a leading centre for advanced manufacturing, education, health and research	Advanced manufacturing, education, life sciences, technology
Perth and the Pilbara (Western Australia)	Heartland of iron ore, Australia's largest export at 18.2% of 2025 exports, and of offshore gas and lithium production	Mining, LNG, mining services, critical minerals
Western Australia processing hubs (Kwinana, Wagerup)	Focus of downstream processing, including the Alcoa-Sojitz gallium project at Wagerup backed by Australian, US and Japanese capital	Critical minerals refining, chemicals, industrial gases
Queensland (Brisbane, Gladstone, Bowen Basin)	Major coal and LNG export base with a growing pipeline of infrastructure ahead of the Brisbane 2032 Olympic Games	Energy, resources, construction, tourism, agribusiness
Northern Territory (Darwin and hinterland)	Northern gateway to Asia and site of Arafura's Nolans rare earths project, which is receiving US$100 million in Australian Government equity	Rare earths, gas, defence logistics, agriculture
Adelaide (South Australia)	National centre for naval shipbuilding and defence industry linked to the AUKUS partnership, with strong space and renewable-energy clusters	Defence, shipbuilding, space, renewable energy

INVESTOR ENTRY ROUTES

- Austrade (Australian Trade and Investment Commission), the national agency for investment attraction, providing sector intelligence and introductions, alongside state agencies such as Investment NSW and Invest Victoria
- Foreign Investment Review Board (FIRB) screening under the Foreign Acquisitions and Takeovers Act 1975, with 2026-27 Budget reforms targeting decisions on low-risk applications within 30 days from 1 January 2027
- Future Made in Australia incentives, including production tax incentives for critical minerals processing and renewable hydrogen, and the A$15 billion National Reconstruction Fund for manufacturing co-investment

- Critical Minerals Facility (expanded to A$5 billion) and the A$1.2 billion Critical Minerals Strategic Reserve, operational from the second half of 2026, offering offtake, price-floor and co-investment support through Export Finance Australia
- Free-floating Australian dollar with no capital controls; profits, dividends and capital can be repatriated freely, subject to standard tax and anti-money-laundering reporting
- US-Australia Critical Minerals Framework (October 2025), under which each government committed at least US$1 billion to unlock a US$8.5 billion project pipeline
- State-administered mining tenements and Commonwealth offshore petroleum titles as the main entry routes into resources, typically via joint ventures with established operators

MARKET-ENTRY OBSERVATION

Australia in October 2026 offers one of the most stable and transparent investment environments in the Asia-Pacific. GDP grew 2.4% in the 2025-26 financial year and 0.4% in the June quarter of 2026, with private business investment 10.4% higher than a year earlier, led by data centres and transport equipment. Foreign investment in Australia reached A$5.1 trillion at the end of 2025, up A$151.6 billion in a year, including direct investment of A$1.3 trillion, with the United States, United Kingdom and Japan the largest sources. Australia is one of only nine countries rated AAA by all three major agencies, with gross debt forecast to peak at 35.8% of GDP. Policy momentum is supportive: the Australia–EU Free Trade Agreement was concluded in March 2026, the 2026-27 Budget announced faster FIRB processing for low-risk investors, and the Critical Minerals Strategic Reserve begins operating in the second half of 2026.

Australia's main structural consideration is the concentration of its export base in resources and in a single large market. China took 29.4% of Australia's A$665 billion of exports in 2025, and iron ore, coal and gas together made up more than a third of the total. Higher global energy prices linked to the Middle East conflict have also lifted inflation to 4.3% in September 2026 (trimmed mean 3.6%), prompting the Reserve Bank to raise the cash rate to 4.85% in November, its fifth increase of the year. The response has been purposeful: deeper trade links with the EU, Japan, the United States, Korea and India; a national critical minerals strategy moving the country up the value chain into processing; and strong fiscal buffers. For investors, diversification is itself the opportunity, with government co-financing, offtake support and allied capital now directed at critical minerals, clean energy, advanced manufacturing and infrastructure.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Export concentration in commodities and China	China takes 29.4% of exports and resources dominate the export mix, so earnings are sensitive to Chinese demand and commodity prices	Diversification via the EU FTA, Asian partners and downstream processing is widening the base and creating new investment entry points
Elevated inflation and rising interest rates	Headline inflation was 4.3% in September 2026 and the cash rate rose to 4.85% in November, raising financing costs	Fix or hedge debt costs early; strong institutions and a credible central bank support a return to target over the medium term
Foreign investment screening	FIRB applies national-interest and national-security review, with closer scrutiny in critical infrastructure, minerals, data and defence-related sectors	Engage FIRB advisers early; announced reforms target 30-day decisions for low-risk repeat investors from January 2027
Exposure to imported energy prices	Higher world oil prices and the end of fuel excise relief lifted fuel prices sharply in mid-2026, adding to business costs	Build energy-cost scenarios into plans; the shift to domestic renewables and storage offers both a hedge and an investment opportunity
Construction and project delivery costs	New dwelling prices rose 4.7% in the year to September 2026 as builders passed on higher materials and labour costs	Use experienced local contractors and fixed-price structures; an easing labour market, with unemployment at 4.7%, is improving availability
Restrictions on residential property	A temporary ban on foreign purchases of established dwellings applies from April 2025 to June 2029	Focus on new housing supply, build-to-rent and commercial property, where foreign capital remains welcome

Issue	Potential Impact	Possible Mitigation
Multi-layered approvals for resources and energy	Federal and state environmental, planning and native title processes can extend project timelines	Engage regulators and Traditional Owners early; strong rule of law makes approved projects highly bankable

INVESTOR RISK NOTE

Australia's risk profile is that of a mature, AAA-rated economy with deep capital markets, an independent central bank, a free-floating currency and a strong rule-of-law tradition. Its principal exposures are cyclical and external rather than institutional: commodity prices, Chinese demand, and imported energy costs, which have pushed inflation to 4.3% and interest rates to 4.85% in 2026. The policy response is credible and transparent, the budget deficit is narrowing, and gross debt is forecast to peak at a moderate 35.8% of GDP. Foreign investors should plan for rigorous FIRB screening in sensitive sectors and a temporary ban on buying established homes, but the 2026-27 reforms are designed to speed decisions for low-risk investors. Investors can take comfort from Australia's long record of policy continuity and from the scale of government and allied co-investment now available in strategic sectors.

MARKET ACCESS

Australia has been a WTO member since its founding in 1995 and has an extensive network of free trade agreements, including the CPTPP, the Regional Comprehensive Economic Partnership (RCEP) and bilateral agreements with China, Japan, Korea, the United States, the United Kingdom and India. The Australia–EU Free Trade Agreement, concluded in March 2026, will raise FTA coverage from 78% to 88% of Australia's trade once in force. China, Japan, the United States, Korea and India were the top five export markets in 2025, with two-way trade of A$1.32 trillion. Resource exports flow through world-scale bulk and LNG ports in Western Australia and Queensland, while the October 2025 US-Australia Critical Minerals Framework and the AUKUS partnership deepen integration with allied supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Anthony Albanese)	Sets national economic direction, including the Future Made in Australia agenda and critical minerals partnerships with the US and other allies	Primary reference point for strategic policy direction
Austrade	National investment attraction agency, providing market intelligence, introductions and support for major projects	Standard first point of contact for market entry
Reserve Bank of Australia (Governor Michele Bullock)	Sets the cash rate, now 4.85%, and oversees financial stability	Relevant for interest-rate outlook and financing strategy
Treasury and the Foreign Investment Review Board	Screen foreign investment proposals and lead the 2026-27 foreign investment reforms	Essential counterpart for any acquisition requiring approval
Department of Industry, Science and Resources	Leads critical minerals policy and delivery of the Critical Minerals Strategic Reserve	Key counterpart for resources, processing and manufacturing projects
Export Finance Australia	Government export credit agency administering the Critical Minerals Facility and expanding its role under the Strategic Reserve	Potential co-financier and offtake partner for strategic projects
National Reconstruction Fund Corporation	A$15 billion government investment fund for advanced manufacturing, renewables, medical science and defence capability	Potential co-investor for manufacturing and technology ventures
Australian Securities Exchange (ASX), Sydney	Region's leading resources listing venue and the core of Australia's deep capital	Relevant for listings, capital raising and resources-sector partnerships

Actor	Why It Matters	Waverley Engagement Angle
	markets	

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Australia, the Australian British Chamber of Commerce and the European Australian Business Council are well-established international networks, alongside the Business Council of Australia and the Australian Chamber of Commerce and Industry for domestic engagement. Sector bodies such as the Minerals Council of Australia and Australian Energy Producers provide practical access to the resources industry, and events such as Diggers & Dealers in Kalgoorlie are important dealmaking forums. Austrade and the state investment agencies run regular investor programmes and international roadshows. Government financiers, including Export Finance Australia, the Clean Energy Finance Corporation and the National Reconstruction Fund Corporation, are active co-investors in strategic projects.

INVESTOR PROFILE BEST SUITED

Australia suits long-term investors seeking stable, high-quality assets in a transparent jurisdiction: institutional and pension investors in infrastructure, renewable energy and real assets; mining and processing investors in critical minerals, supported by offtake, price-floor and allied financing; technology investors in data centres and digital infrastructure, where investment is growing strongly; and manufacturers in defence, medical science and clean technology seeking co-investment from the National Reconstruction Fund. Investors should plan for FIRB screening in sensitive sectors and for a higher interest-rate environment in the near term.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Austrade and the relevant state investment agency
Use national and state agencies for market intelligence, site selection, introductions and guidance on available incentives.

STEP 2: Plan FIRB approval into the transaction timetable
Engage experienced advisers early, assess whether the asset falls into a sensitive sector, and track the 2026-27 reforms that will speed low-risk applications.

STEP 3: Explore government co-financing and offtake support
Assess the Critical Minerals Facility, the Strategic Reserve, the National Reconstruction Fund and production tax incentives for projects in strategic sectors.

STEP 4: Structure financing for a higher-rate environment
Model interest-rate and energy-cost scenarios given the 4.85% cash rate and 4.3% inflation, and consider hedging for Australian-dollar exposure.

STEP 5: Position for trade diversification
Use Australia's FTA network, including the forthcoming EU agreement and the US critical minerals framework, to target supply-chain and export opportunities beyond traditional markets.